of import. Today, India has foreign exchange reserves adequate to pay for fourteen months of imports.

India's situation has dramatically changed as far as foreign exchange reserves are concerned.

RBI Sources for Accumulating Foreign Exchange Reserves (Investible Funds) are Essentially Two: Reserve Money and Accumulated Capital

Like other currency-issuing central banks, RBI is both the product and regulator of fiat currency. Its main function is to issue currency, which constitutes its primary liability. In addition, RBI keeps bankers' and 'other deposits' of a monetary nature, which when added to the currency with the public makes the currency base of the country, also called reserve money.

The reserve money is the principal and only real liability of RBI. Like all other central banks managing fiat currency and enjoined by the law, it is required to keep reserves, made up of permissible assets, equal to its currency and reserve money liabilities. The reserves, at least as legal fiction, provide an assurance to the public that in the unlikely event of the public/depositor demanding 'value' of the currency issued and other deposits held by RBI, it would pay up by 'encashing' the reserves.

The remaining net liabilities of the RBI are nothing but its accumulated capital. Thus, there are two real parts of the liabilities side of the RBI Balance Sheet: reserve money liabilities and accumulated capital.

RBI does not present its Balance Sheet in such a clear manner. It is divided in two parts: the Balance Sheet of the Issue Department, responsible for issuing 'currency', not full 'reserve money' and the Balance Sheet of the Banking Department, which basically records the assets and liabilities of the banking function RBI discharges. RBI's banking function relates to its role as a banker to the Central and state governments and a banker to banks.